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The great corruption of behested payments in California

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For Gov. Gavin Newsom and his wife, Jennifer Siebel Newsom, charity begins at home.

The governor has taken advantage of California's "behested payments" law to ask for "charitable" contributions to benefit the"California Partners Project" founded by his wife. In the last three years, the project has collected $1,671,680 at Gov. Newsom's "behest."

California strictly regulates gifts and campaign contributions, but "behested payments" are in a different category. Elected officials are free to request donations in any amount from any individual or entity for any "legislative, governmental or charitable purpose." There are no limits on how much may be requested or given. State law requires public reporting if the payments total $5,000 or more in a calendar year from a single source.

Some of the reports describe payments to the California Partners Project as "a donation to a 501c4 organization focused on women's leadership and the effects of media and technology on youth," but it does not appear that this is fully accurate. The California Partners Project doesn't show up in Guidestar or Charity Navigator, two databases that list nonprofit organizations, and the latest "behested payments" reports do not refer to a 501c4. They describe the payments as "To support the work of the California Partners Project."

Nonetheless, the purpose of the payments is listed as "charitable" on the forms that the governor filed, the other options being "governmental" or "legislative," and those are not accurate, either.

Who is giving money to Mrs. Newsom's project at the governor's behest? In April, the Federated Indians of Graton Rancheria wrote a check for $300,000. Silicon Valley Bank in Menlo Park wrote four checks for $25,000 each. Several foundations have contributed generously.

There's nothing unusual about foundations, individuals or companies supporting charitable causes. What makes this unusual is that the payments are "behested" by a powerful elected official. According to state regulators, payments are considered "behested" if they are made "at the request, suggestion, or solicitation of, or made in cooperation, consultation, coordination or concert with the public official."

Charities that are authentic nonprofit organizations file tax returns that are publicly available and list the compensation paid to officers, directors and top employees. Those documents do not seem to be available for the California Partners Project.

However, Jennifer Siebel Newsom has another organization that is an authentic nonprofit, a 501c3 called The Representation Project. Its IRS Form 990 for 2020 shows income from contributions and grants totaling $823,427 and program service revenue of $257,448. Expenses were higher than revenue by $220,963. Mrs. Newsom was paid a salary of $150,000.

Last year, the Sacramento Bee reported that The Representation Project paid Mrs. Newsom $2.3 million in salary between 2011 and 2018. Much of that money came from entities with a keen interest in maintaining good relationships with elected officials. For example, Pacific Gas & Electric gave $358,000 to The Representation Project between 2011 and 2019. AT&T gave more than $185,000 between 2017 and 2020. Comcast wrote a check for $15,000. Kaiser Permanente chipped in $20,000.

The Bee's reporting uncovered that donations to Mrs. Newsom's nonprofit jumped 30% to nearly $16 million after her husband announced in 2015 that he would be a candidate for governor. Suddenly, huge companies that lobby

the state government all decided at the same time to support "the transformative power of storytelling to awaken consciousness around harmful gender stereotypes and norms, shift attitudes and behavior, and transform culture."

That's how The Representation Project describes its mission on its IRS forms.

The Newsom household income is enhanced by the six-figure salary paid to Mrs. Newsom with the help of donations from companies that have business before the state. As is the case with behested payments, this special blend of protection racket and influence-buying is legal in California.

State campaign finance regulators could, if they wanted to, investigate whether the behested payments to the California Partners Project cross the line into providing a personal benefit to the governor. "A reportable behested payment that also results in any personal benefit to the official may be considered a gift to the official even when the payment is not made principally for personal purposes," the Fair Political Practices Commission (FPPC) states on its website. In that case, "the payment may require additional reporting as a gift and be subject to the gift limit."

Don't hold your breath waiting for the investigation.

So far this year, Newsom has "behested" $23.7 million in payments from various entities for various purposes. Last year, the total was $14.9 million, and in 2020, a mind-boggling $226.5 million was paid at the behest of the governor to advance his objectives. Having emergency powers over everybody's business means never having to take "no" for an answer.

You can see for yourself how much blood was pulled from the veins of California companies at fppc.ca.gov/transparency/behested-payments.html, where you can search by the name of the elected official, the name of the payor, the name of the payee or any combination.

The behested payment reports of local officials can be found on the websites of those jurisdictions. In Los Angeles, for example, a search at ethics.lacity.org/data/ethics/behested-payment-reports reveals that earlier this year, Mayor Eric Garcetti "behested" Edison International and Snap Inc. out of $100,000 each for his "Mayor's Fund for Los Angeles."

Obviously these companies can make charitable contributions without going through the mayor, so this isn't about charity.

Lawmakers in Sacramento have used behested payments to fund foundations tied to their legislative caucuses. It's legal for them to contact special interests and ask for donations just before voting on bills that are the subject of active lobbying.

Since 2020, Maria Elena Durazo has "behested" more than $1.4 million for the California Latino Legislative Caucus Foundation, including $15,000 from Pfizer, $25,000 from Sutter Health and $125,000 from Altria. Starting in 2021, Jesse Gabriel "behested" $660,000 for the California Jewish Legislative Caucus Leadership Foundation from entities including AT&T ($20,000) and the California Teachers Association ($50,000). This year, Evan Low "behested" $145,000 for the California Legislative LGBT Foundation, including $25,000 from the California Faculty Association PAC and $10,000 from the California Charter School Association. And Steven Bradford "behested" $1,102,500 for the California Legislative Black Caucus Policy Institute, including $55,000 from the prison guards' union and $50,000 from Chevron.

In other states, these payments might be considered campaign contributions, gifts, lobbying expenditures, bribery, extortion, influence-peddling or influence-buying.

In California, they're considered "charitable." That's a generous interpretation.

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